



Unit 3: REGISTRATION & DISSOLUTION OF FIRM

I. REGISTRATION OF PARTNERSHIP FIRMS (SECTIONS 58 & 59)

A. Application for Registration (Section 58)

- Registration may be effected at any time — there is no compulsion under Indian law (unlike English law, where registration is mandatory).
- Application is sent by post or delivered to the Registrar of the area where any place of business of the firm is situated/proposed.

The application must strictly declare the following six details:

1. **The firm's Name**
2. **Principal Place of Business:** The Office location
3. **Other Places of Business:** The complete details of all branch offices or additional locations where business is actively conducted.
4. **Date of Joining of Each Partner:** A record of the exact date every individual partner was admitted into the firm.
5. **Full Names and Permanent Addresses of Partners**
6. **Duration of the Firm:** The specified operational tenure, whether it is a partnership for a fixed term, a particular partnership, or a partnership at will.

 Must be signed by all partners, or their specially authorised agents.

 Each signatory must also verify it in the prescribed manner.

 **Restricted Words in Firm Name:** A firm name cannot contain — *Crown, Emperor, Empress, Empire, Imperial, King, Queen, Royal* — or any word implying government sanction/patronage, unless the State Government consents in writing.

B. Registration (Section 59)

Once the Registrar is satisfied that Section 58 is complied with, he:

1. Records an entry in the **Register of Firms**
2. Files the statement
3. Issues a **Certificate of Registration**

 **Important - Effective Date:** Registration is deemed complete as soon as a complete application with prescribed fee is delivered to the Registrar — not when the Registrar actually records the entry. (Recording the entry is treated as a routine ministerial duty.)

 **Registration after filing a suit:** Possible, but the firm must first withdraw the suit, get registered, and then file a fresh suit.

⚠ **Late Registration (Section 59A-1):** If the statement isn't filed within the prescribed time, the firm can still register on payment of a **penalty of ₹100 per year of delay** (or part thereof).

2. Consequences of Non-Registration (Section 69)

Registration is **not compulsory** in India, and there's **no direct penalty** — but Section 69 creates significant *disabilities* that create strong **persuasive pressure** to register.

A. The Four Disabilities

Sr No.	Disability	Detail
(i)	No suit by firm against third party	Firm/anyone on its behalf cannot sue a third party for breach of contract unless the firm is registered and the suing persons are/were shown as partners in the Register
(ii)	No relief for set-off	If a third party sues the firm, neither the firm nor partners can claim set-off if the suit value exceeds ₹100, nor pursue other contractual proceedings
(iii)	No suit by partner against firm/co-partner	An aggrieved partner of an unregistered firm cannot sue the firm or a co-partner — except for dissolution, or for accounts/realization of his share once the firm is dissolved
(iv)	Third party CAN sue the firm	Non-registration doesn't shield the firm — third parties retain full rights to sue an unregistered firm

B. Exceptions — Rights NOT Affected by Non-Registration

Exception 1	Right of third parties to sue the firm or any partner
Exception 2	Right of partners to sue for dissolution, or for accounts/realization of property of an ALREADY-dissolved firm
Exception 3	Power of Official Assignee/Receiver of Court to release insolvent partner's property and sue
Exception 4	Right to sue or claim set-off if suit value $\leq$ ₹100
Exception 5	Right of legal representatives/heirs of a deceased partner to sue for accounts or to realize firm property

3. Dissolution of a Firm (Sections 39 - 44)

Dissolution of the firm = dissolution of partnership **between all partners** of the firm.

A. Conceptual Disparity: Firm vs. Partnership

Dissolution of Firm (Section 39): This is the complete breakdown of the jural/legal relationship between all partners in a firm. The entity is closed, operations stop, books are permanently closed, and assets are liquidated.

Dissolution of the firm = dissolution of partnership **between all partners** of the firm.

Dissolution of Partnership: This represents a mere reconstitution of the firm. It occurs when one or more partners break their connection with the firm due to retirement, death, insolvency, or insanity, but the remaining partners mutually agree to continue the business operations.

Dissolution of Firm vs. Dissolution of Partnership

Basis	Dissolution of Firm	Dissolution of Partnership
Continuation of business	Discontinues the business	Doesn't affect continuation — only reconstitutes the firm
Winding up	Involves winding up — realization of assets, settlement of liabilities	Only requires revaluation of assets/liabilities
Order of court	Firm may be dissolved by court order	Court does not order dissolution of partnership
Scope	Necessarily involves dissolution of partnership	May or may not involve dissolution of the firm
Final closure of books	Yes — books are finally closed	No — books continue

4. Modes of Dissolution (Sections 40–44)

B. Detailed Modes of Dissolution

Category I: Dissolution Without Court Intervention (Voluntary) (Sections 40 to 43)

i) Dissolution by Agreement (Section 40)

- With the **consent of all partners**, OR
- In accordance with a **contract already made** between partners (i.e., a pre-existing clause).

ii) Compulsory Dissolution (Section 41)

A firm is **compulsorily dissolved**:

Ground	Note
Illegality of business	Where an event makes it unlawful for the firm's business to be carried on, or for the partners to carry it on in partnership
Partial illegality exception	If the firm runs multiple separate undertakings , illegality of one does not dissolve the firm as to its lawful undertakings

Example: A firm trades a chemical that is later **banned** by law → business becomes unlawful → firm is **compulsorily dissolved**.

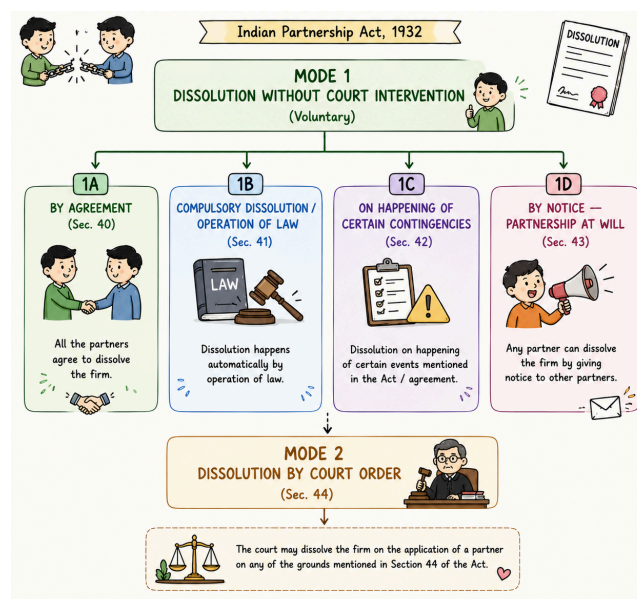
iii) Dissolution on Certain Contingencies (Section 42) — Subject to Contract

Contingency 1	Fixed-term firm — on expiry of that term
Contingency 2	Firm formed for specific adventure(s)/undertaking(s) — on completion thereof
Contingency 3	Death of a partner
Contingency 4	Adjudication of a partner as insolvent

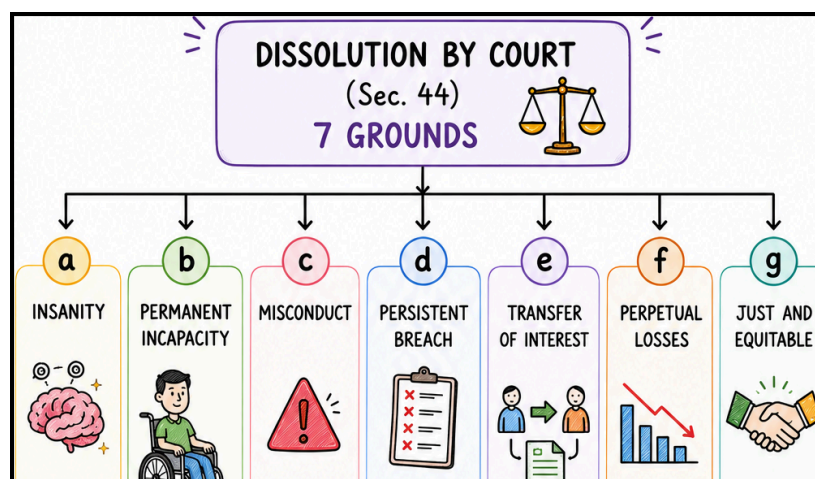
Note: these apply "**subject to contract between the partners**" — partners can contractually override these default triggers (e.g., agree the firm survives a partner's death).

iv) Dissolution by Notice — Partnership at Will (Section 43)

- Any partner can dissolve a **partnership at will** by giving **written notice** to all other partners of his intent to dissolve.
- Effective date:**
 - If a date is mentioned in notice → dissolution takes effect **from that date**.
 - If no date mentioned → dissolution takes effect **from the date of communication** of the notice.
- Important rule :** Once given, such notice **cannot be withdrawn** without the consent of all partners.



5. Dissolution by Court (Section 44)



The court may dissolve a firm on a partner's suit, on the following grounds:

Ground	Key Conditions/Notes
(a) Insanity/Unsound mind	Applies to a partner who is not a sleeping partner ; suit by other partners or the insane partner's next friend. Temporary sickness is NOT a ground
(b) Permanent incapacity	Of a partner other than the one suing — may arise from physical disability/illness
(c) Misconduct	By a partner other than the suing partner , likely to prejudicially affect the business . Misconduct need not relate directly to business conduct — what matters is the adverse effect on the business (judged per nature of business)
(d) Persistent breach of agreement	Wilful/persistent breach relating to management/conduct of business, or conduct making it not reasonably practicable for others to continue with him. Includes: embezzlement, erroneous accounts, holding excess cash, refusing to show accounts
(e) Transfer of interest	Where a partner (other than the suing one) transfers his whole interest to a third party, or allows his share to be charged/sold by court for land revenue arrears
(f) Continuous/perpetual losses	Where the business cannot be carried on except at a loss in future too
(g) Just and equitable grounds	Catch-all category — includes: deadlock in management; partners not on speaking terms; loss of substratum; a partner gambling on the stock exchange

6. Consequences of Dissolution (Sections 45–55)

(a) Liability for Acts of Partners Done After Dissolution (Section 45)

- **General Rule:** Despite dissolution, partners **continue to be liable** to third parties for any act that would have been a firm act before dissolution — **until public notice of dissolution is given**.
- **Twin objectives of Section 45:**
 1. Protects **third parties** who had no notice of dissolution.
 2. Protects **partners** of a dissolved firm from open-ended liability (once notice is given).
- **Who can give notice:** Any partner.

⚠ **Exceptions — No liability for post-dissolution acts even without public notice, for:**

#	Exempted Party
(a)	Estate of a deceased partner
(b)	An insolvent partner
(c)	A dormant/sleeping partner — i.e., one not known as a partner to the person dealing with the firm

b) Right to Have Business Wound Up (Section 46)

Every partner (or his representative) is entitled, against all other partners, to have:

1. Firm property applied toward **payment of firm's debts and liabilities**, and
2. The **surplus distributed** among partners according to their rights.

c) Continuing Authority for Winding Up (Section 47)

- After dissolution, each partner's authority to bind the firm, and partners' mutual rights/obligations, **continue** — but **only so far as necessary**:
 1. To **wind up** the firm's affairs, and
 2. To **complete transactions begun but unfinished** at the time of dissolution.
- **Not otherwise** — i.e., no authority for *new* business.
- **Proviso:** The firm is **never bound** by acts of a partner who has been **adjudicated insolvent** — but this doesn't affect the liability of anyone who, after the adjudication, **represented himself** (or knowingly allowed himself to be represented) as a partner of the insolvent.

d) Step sequence for settling losses (including capital deficiencies):

Step 1:	Pay losses out of PROFITS first
Step 2:	If insufficient, pay out of CAPITAL
Step 3:	If still insufficient, partners pay INDIVIDUALLY in their profit-sharing ratio

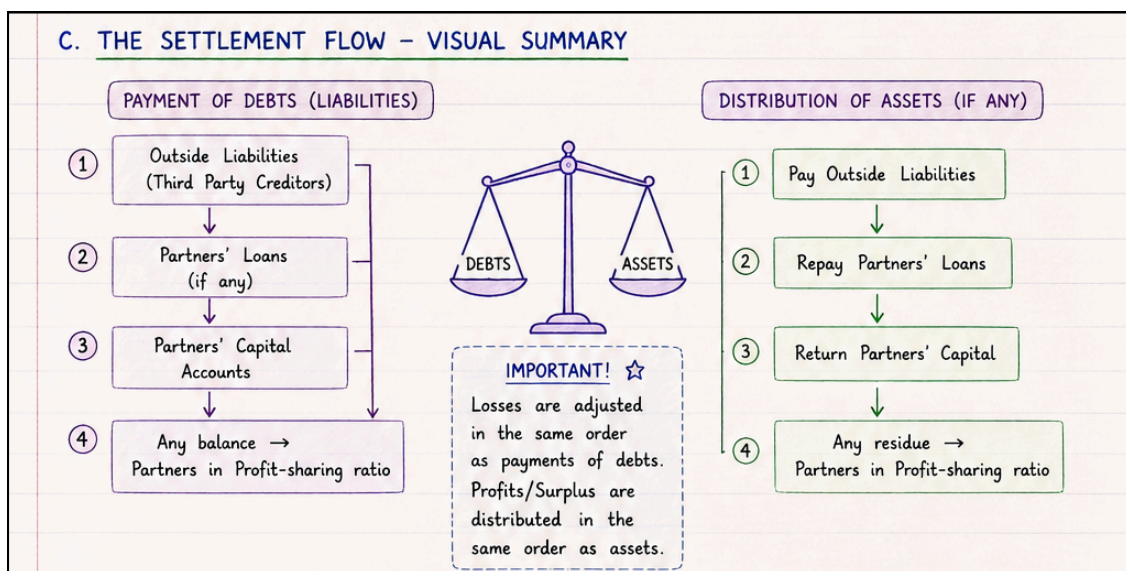
e) Step sequence for applying firm's assets:

Step 1:	Pay debts of the firm to THIRD PARTIES
Step 2:	Pay each partner rateably what is due to him for ADVANCES (as distinguished from capital)
Step 3:	Pay each partner rateably what is due to him on account of CAPITAL
Step 4:	Distribute the RESIDUE among partners in their profit-sharing ratio

f) Payment of Firm Debts vs. Separate Debts (Section 49)

Situation	Rule
Firm property	Applied first to firm's debts; surplus (if any) goes toward partner's separate debts or is paid to him
Partner's separate property	Applied first to his own separate debts ; surplus (if any) goes toward firm's debts

Essentially: **firm assets → firm debts first; personal assets → personal debts first**, with only the surplus crossing over.



**QUICK REFERENCE TABLE: Complete Section-Wise Summary of
INDIAN PARTNERSHIP ACT**

Section	Topic
1	Short title and commencement
2	Definitions (firm, firm name, business, etc.)
3	Application of provisions of Indian Contract Act, 1872
4	Definition of "Partnership," "Partner," "Firm," and "Firm Name"
5	Partnership not created by status (distinguishes from HUF/co-ownership)
6	Mode of determining existence of partnership (real intention test)
7	Partnership at Will
8	Particular Partnership
9	General duties of partners
10	Duty to indemnify for loss caused by fraud
11	Determination of rights and duties of partners by contract between partners
12	The conduct of the business
13	Mutual rights and liabilities
14	The property of the firm
15	Application of the property of the firm
16	Personal profits earned by partners
17	Rights and duties of partners after a change in the firm
18	Partner to be agent of the firm
19	Implied authority of partner as agent of the firm
20	Extension and restriction of partner's implied authority
21	Partner's authority in an emergency
22	Mode of doing act to bind firm
23	Effect of admissions by a partner
24	Effect of notice to acting partner
25	Liability of a partner for acts of the firm
26	Liability of the firm for wrongful acts of a partner
27	Liability of firm for misapplication by partners
28	Holding out
29	Rights of transferee of a partner's interest
30	Minors admitted to the benefits of partnership

31	Introduction of a partner
32	Retirement of a partner
33	Expulsion of a partner
34	Insolvency of a partner
35	Liability of estate of deceased partner
36	Rights of outgoing partner to carry on competing business
37	Right of outgoing partner in certain cases to share subsequent profits
38	Revocation of continuing guarantee by change in firm
39	Dissolution of a firm
40	Dissolution by agreement
41	Compulsory dissolution
42	Dissolution on the happening of certain contingencies
43	Dissolution by notice of partnership at will
44	Dissolution by the Court
45	Liability for acts of partners done after dissolution
46	Right of partners to have business wound up after dissolution
47	Continuing authority of partners for purposes of winding up
48	Mode of settlement of accounts between partners
49	Payment of firm debts and of separate debts
50	Personal profits earned after dissolution
51	Return of premium on premature dissolution
52	Rights where partnership contract is rescinded for fraud or misrepresentation
53	Right to restrain from use of firm name or firm property
54	Agreements in restraint of trade
55	Sale of goodwill after dissolution
56–62	(Chapter VII) Registration of Firms — general provisions, appointment of Registrars, etc.
58	Application for registration
59	Registration
59A	(Inserted by amendment) Penalty for late registration
60	Recording of alterations in firm name and principal place of business
61	Noting of closing and opening of branches
62	Noting of changes in names and addresses of partners

63	Recording of changes in and dissolution of a firm
64	Rectification of mistakes
65	Amendment of Register by order of Court
66	Inspection of Register and filed documents
67	Grant of copies
68	Rules of evidence
69	Effect of non-registration
70	Penalty for furnishing false particulars
71	Power to make rules
72	Mode of giving public notice
73	Repeals
74	Saving clause